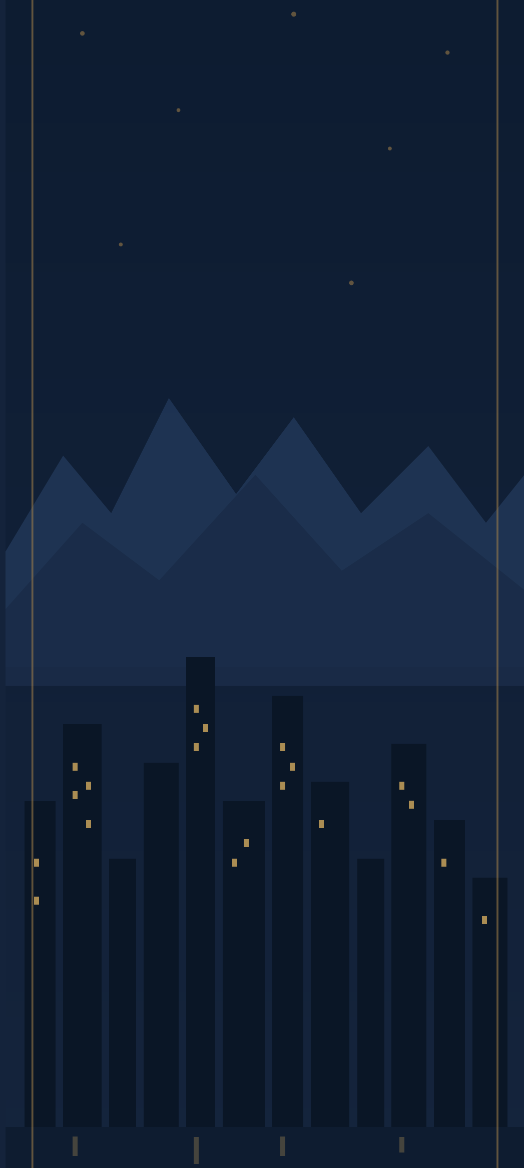
MACK MORTGAGES

FIRST-TIME BUYER GUIDE · BRITISH COLUMBIA · 2026 EDITION

Your Complete Guide to Financing Your First Home

A clear, current walkthrough of the mortgage process, the programs available to you, and the costs to plan for, from a broker who works with BC buyers every day.



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WELCOME

A guide built for buyers here in BC

Updated for 2026, so you're working from current numbers, not outdated ones.

Buying your first home is one of the biggest financial decisions you'll make, and the rules around it change more often than most people realize. Contribution limits, tax exemptions, insurance premiums and amortization rules have all shifted in the past two years alone.

I put this guide together to walk you through the process end to end: what a lender looks at, what programs you can use to reduce your upfront costs, and what to budget for at closing. It's not a sales pitch. It's the same explanation I'd give you sitting across the table.

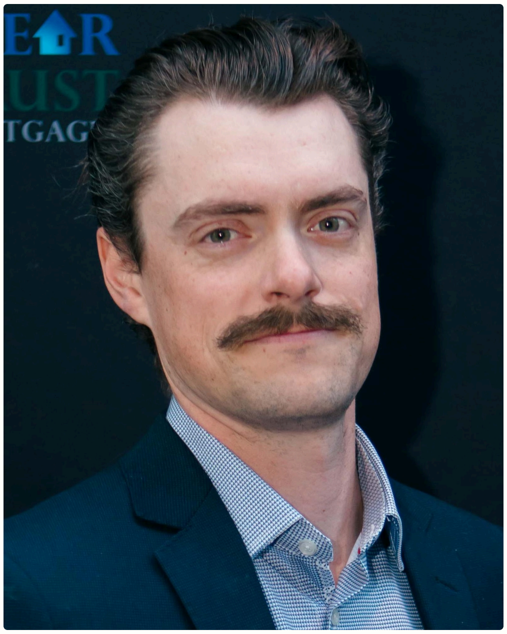
Wherever you are in the process, whether you're just starting to think about it or you have an accepted offer already, I'm glad to walk through your specific numbers with you directly.

HOW TO USE THIS GUIDE

– Read start to finish if you're early in the process and want the full picture.

– Jump to the First-Time Buyer Programs and Closing Costs sections if you're closer to an offer.

– Use the worksheet on the last page to estimate your true cash needed at closing.



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GETTING STARTED

Is homeownership right for you, right now?

Buying a home is one of the biggest financial decisions you'll make, so it's worth being honest about your full financial picture before you start shopping. First-time buyers often underestimate what ownership costs beyond the mortgage payment itself.

THREE COST CATEGORIES TO PLAN FOR

- **Upfront costs**: your down payment, closing costs, and any applicable taxes, all due at once.
- **Ongoing costs**: mortgage payments, property tax, insurance, utilities, strata fees if applicable, and routine maintenance.
- **Major repairs**: the roof, furnace, or foundation work that eventually comes due on every home. Budget for it before you need it.

If you're considering a property outside municipal water or sewer service, factor in the added maintenance cost of a well or septic system.

ASK YOURSELF FIRST

- Is my income and employment stable enough to commit to this?
- Do I have 3 to 6 months of expenses set aside beyond my closing costs?
- Have I budgeted for property tax, insurance, and maintenance, not just the mortgage payment?
- Am I ready to take on the ongoing responsibility of maintaining a home?
- Do I plan to stay in this home long enough to make the upfront costs worth it?

A NOTE ON TIMING

There's no universal "right" time to buy. It depends on your income stability, your savings, your plans for the next five to ten years, and the market you're buying into. This is exactly the kind of conversation worth having before you start touring homes, not after you've found one you love.

WEIGHING YOUR OPTIONS

Renting versus buying

There's no wrong answer here, only the one that fits your situation.

RENTING

Advantages

- Lower upfront and monthly costs
- Little to no responsibility for repairs
- Easier to relocate for work or lifestyle
- No exposure if property values fall
- Frees up cash to invest or save toward a future down payment

Trade-offs

- Rent can rise at renewal, with limited notice
- No guarantee your lease will be renewed
- Your payments build your landlord's equity, not yours
- Limited ability to renovate or personalize the space

BUYING

Advantages

- You build equity with every payment
- Freedom to renovate and personalize
- Potential rental income from a secondary suite
- Stability, and a fixed principal and interest payment for your term

Trade-offs

- Full responsibility for maintenance and repairs
- Exposure if the property loses value before you sell
- Payments can rise if rates are higher at your renewal
- Larger, less flexible upfront cost

WORTH REMEMBERING

A mortgage payment is, in effect, a forced savings plan: a portion of every payment goes toward principal, building equity you keep. A rent payment builds equity for someone else. Neither choice is automatically better; it depends on your timeline, your market, and your finances.

WHO'S INVOLVED

Your professional team

Buying a home involves more people than just you and a lender. Here's who's typically on the team, and what each person handles.

Your mortgage broker *(Me)*

I work with dozens of lenders, including banks, credit unions, and monoline lenders, rather than just one institution's products. That means more options and more negotiating room on rate. Brokers are paid by the lender, so there's no fee to you in the vast majority of cases.

Your realtor

Your realtor gives you access to listings and off-market opportunities, helps you structure a competitive offer, and negotiates on your behalf. In this market, buying without one is rarely a good idea. I work with a number of realtors across BC and can put you in touch with one suited to your search.

Your lawyer or notary

A lawyer or notary drafts and registers your mortgage documents and handles the legal transfer of title. This is the last step before you get your keys, so it's worth using someone who specializes in BC real estate transactions.

Your home inspector

Typically $300 to $500, and one of the best amounts you'll ever spend. A thorough inspection tells you what's behind the walls before you own it, from aging wiring to hidden moisture. In a multiple-offer situation an inspection may not always be possible, but I'd recommend it whenever you can.

THE FUNDAMENTALS

Mortgage types, and how financing works

CLOSED VS. OPEN

Closed mortgages lock in your rate for a set term, from six months up to ten years. You can usually still make lump-sum or extra payments each year, but paying the whole thing off early triggers a penalty. Most mortgages in Canada are closed.

Open mortgages let you pay off the full balance anytime without penalty, but carry a higher rate to offset that flexibility. Worth it only if you're confident you'll pay off the loan very soon.

FIXED VS. VARIABLE

Fixed-rate mortgages hold the same interest rate for your entire term, so your payment doesn't change regardless of what happens in the broader rate environment.

Variable-rate mortgages float with the lender's prime rate. Your payment may stay level while the portion going to principal versus interest shifts, or your payment itself may adjust, depending on the product. These are almost always closed mortgages.

HOW THE PROCESS WORKS, START TO FINISH

1. **Get prepared.** Gather ID, proof of income and employment, proof of down payment and savings, and a picture of your current debts. Check your credit score.
2. **Get pre-approved.** This sets your realistic price range, typically holds your rate for 90 to 120 days, and lets you make a stronger, cleaner offer.
3. **Make an offer.** Once you've found the right property, your realtor helps structure and negotiate your offer.
4. **Offer accepted.** The contract and MLS listing are sent for financing, an appraisal is ordered if needed, and remaining documents go in.
5. **Remove subjects.** Financing is confirmed and in place; you're ready to proceed to completion.
6. **Lawyer's office.** You provide the balance of your down payment, and the deal registers, typically one to two days before completion.

2026 UPDATE

Programs built for first-time buyers

These have changed significantly in the last two years. Here's where they stand today.

First Home Savings Account (FHSA)

A registered account built specifically for a first home. Contributions are tax-deductible, like an RRSP, and qualifying withdrawals are entirely tax-free, like a TFSA, with no repayment required.

$8,000
ANNUAL CONTRIBUTION LIMIT

$40,000
LIFETIME LIMIT PER PERSON

Unused room carries forward up to $8,000, so opening the account early, even with a small first contribution, is worth doing.

RRSP Home Buyers' Plan (HBP)

Withdraw from your RRSP tax-free toward a first home, then repay it over time. Funds must sit in the RRSP at least 90 days before withdrawal.

$60,000
PER PERSON

15 yrs
REPAYMENT WINDOW

Repayment starts in the second year after your withdrawal, at a minimum of one-fifteenth per year. Missed repayments are added to that year's taxable income.

STACKING BOTH PROGRAMS

The FHSA and HBP can be used together on the same purchase. A single first-time buyer can combine up to **$100,000** ($40,000 FHSA plus $60,000 HBP). A couple who both qualify can combine up to **$200,000** toward the same home. Most buyers are best served maxing out the FHSA first, since it carries no repayment obligation, before turning to the HBP.

First-Time Home Buyers' GST Rebate

New federal legislation (Bill C-4) removes the GST on new construction homes for qualifying first-time buyers. If you're considering a new build or pre-sale, this is significant money.

100%
GST REBATED, HOMES TO $1,000,000

Phases out
$1,000,000 TO $1,500,000

Up to $50,000
MAXIMUM REBATE

Applies to agreements signed with a builder on or after March 20, 2025. Not available on resale homes, since GST doesn't apply to those in the first place.

PROVINCIAL & FEDERAL RULES

BC property transfer tax, and mortgage insurance

BC Property Transfer Tax

A one-time provincial tax paid on closing: 1% on the first $200,000, 2% up to $2,000,000, and 3% above that, with a further 2% surtax on the portion above $3,000,000.

FIRST-TIME BUYERS' EXEMPTION

Full exemption on homes valued at $500,000 or less. A partial exemption, worth up to $8,000, applies between $500,000 and $835,000, phasing out completely by $860,000.

Must be a Canadian citizen or permanent resident, have lived in BC 12 months (or filed 2 BC tax returns in 6 years), and never have owned a home anywhere.

NEWLY BUILT HOME EXEMPTION

A separate program, open to first-time and repeat buyers alike. Full exemption up to $1,100,000, partial exemption up to $1,150,000.

If you qualify for both programs on a new build, you can only claim one; whichever saves you more is worth confirming with your lawyer or notary.

Conventional vs. High-Ratio Mortgages

Put down 20% or more and you have a **conventional mortgage**, with no default insurance required. Below 20% down, you have a **high-ratio mortgage**, which must be insured by CMHC, Sagen, or Canada Guaranty. The insurer covers the lender if you default; the premium is a one-time charge, added to your loan.

Loan-to-Value	Premium (of loan amount)
Up to 65%	0.60%
Up to 75%	1.70%
Up to 80%	2.40%
Up to 85%	2.80%
Up to 90%	3.10%
Up to 95%	4.00%
30-year amortization surcharge	+0.20%

$1.5M
INSURED MORTGAGE PRICE CAP

5% + 10%
MIN. DOWN: 5% ON FIRST $500K, 10% ON THE REST

30 yrs
AMORTIZATION FOR FIRST-TIME BUYERS OR NEW BUILDS

Homes priced at $1.5 million or more require a minimum 20% down payment and are not eligible for default insurance.

BUDGETING

Down payment sources, and closing costs

WHERE YOUR DOWN PAYMENT CAN COME FROM

- Your own savings, including funds from an FHSA or RRSP under the Home Buyers' Plan
- A non-repayable gift from an immediate family member, with a signed gift letter
- Proceeds from the sale of another property

Lenders will ask for a 90-day history on the account holding your down payment funds. Any large, unexplained deposit will typically need to be sourced and documented, so plan ahead if you're moving money between accounts.

WHAT TO BUDGET FOR AT CLOSING

- **Legal fees.** Typically $1,000 to $1,500, including land title registration, title insurance, and courier fees.
- **Property Transfer Tax.** See the exemptions on the previous page; this can be $0 for many first-time buyers.
- **GST.** Only applies to new construction; see the First-Time Buyers' GST Rebate for relief up to $1.5 million.
- **Appraisal fee.** Ordered by the lender when required; cost varies by property.
- **Survey or title insurance.** A survey runs roughly $300 to $350 if a recent one isn't already on file; often replaced by title insurance instead.
- **Tax and interest adjustments.** Prorated amounts settled with the seller at closing.

RULE OF THUMB

Beyond your down payment, plan for an additional 1.5% to 4% of the purchase price in closing costs. Lenders on an insured mortgage will typically want to see that you have access to at least 1.5% of the price on top of your down payment, specifically to cover this.

PROTECTING YOURSELF

Avoiding fraud, and life after closing

Protect yourself against mortgage fraud

Mortgage fraud means misrepresenting your income or assets to qualify for financing you don't actually qualify for, and it carries real legal liability, even if someone else asked you to do it.

- Never misrepresent your income, assets, or intentions on a mortgage application.
- Never let your name go on a mortgage or property you don't intend to actually own.
- Work only with licensed, accredited mortgage and real estate professionals.
- Read every document before you sign it, and get independent legal advice from your own lawyer or notary.
- If a deposit is required, confirm the funds are payable to, and held in trust by, the seller's brokerage or a lawyer or notary, never to an individual directly.

If a deal sounds too good to be true, it probably is.

After you buy

- **Pay on time, every time.** Missed or late payments trigger fees and can damage your credit. If you're at risk of missing one, call your lender before the due date, not after.
- **Budget beyond the mortgage.** Property tax, insurance, utilities, and maintenance add up. Strata fees cover some of this if you own a condo or townhome.
- **Set aside an emergency fund.** A rough guide is 5% of your income annually, earmarked for the repairs every home eventually needs.
- **Consider accelerating your payments.** Switching to an accelerated weekly or biweekly schedule, or making one extra lump-sum payment a year, can meaningfully shorten your amortization.

ONE MORE THING

Closing day isn't the end of our relationship, it's the start of it. Rates move, your term comes up for renewal, and life circumstances change. A good broker keeps an eye on your mortgage after it funds, not just while it's closing, and reaches out if a renewal, a refinance, or a rate change means there's money on the table for you. That's what I do for every client, for as long as you'll have me.

REFERENCE

Glossary of terms

Amortization. The total time it would take to pay off your mortgage in full at your current payment, typically 25 to 30 years.

Appraisal. A professional estimate of a property's current market value, often required by the lender.

Closed mortgage. A mortgage that can't be paid out or renegotiated before term's end without a penalty.

Closing costs. Legal fees, taxes, and other charges due on completion day, on top of your down payment.

Completion date. The day the sale finalizes and ownership legally transfers.

Conventional mortgage. A mortgage of 80% loan-to-value or less; no default insurance required.

Default insurance. Insurance protecting the lender if you stop making payments; required below 20% down.

Down payment. The portion of the purchase price you pay from your own funds, not financed by the mortgage.

Equity. The value of your home minus what you still owe on it.

Fixed rate. An interest rate that stays the same for your entire term.

Gross Debt Service (GDS) ratio. Your housing costs as a share of gross income; generally capped at 39%.

High-ratio mortgage. A mortgage over 80% loan-to-value; requires default insurance.

Land Title Office. BC's registry of legal ownership and interests in property.

Lien. A legal claim against a property for money owed by its owner.

Loan-to-value (LTV). Your mortgage amount as a percentage of the property's value.

Mortgage broker. A licensed professional who sources mortgage financing across many lenders on your behalf.

Mortgage insurance premium. The one-time cost of default insurance, based on your loan-to-value ratio.

Notary or lawyer. The legal professional who registers your purchase and mortgage documents.

Offer to purchase. A written, binding contract setting the terms of your purchase once accepted.

Pre-approval. A lender's early estimate of what you can borrow, typically holding a rate for 90 to 120 days.

Prepayment penalty. A fee charged for paying down more than your mortgage's prepayment privileges allow.

Principal. The amount you borrow, not including interest.

Property transfer tax (PTT). BC's provincial tax on registering a change in property ownership.

Strata. BC's term for a condominium; owners share ownership of common areas.

Stress test. The qualifying rate lenders use to confirm you could handle payments if rates rose.

Term. The length of your current rate and conditions, typically 1 to 5 years, within a longer amortization.

Title. Legal ownership of a property.

Title insurance. Insurance against losses from title defects, liens, or survey issues.

Variable rate. An interest rate that moves with the lender's prime rate throughout your term.

APPENDIX A

What closing costs actually look like

Two illustrative examples, assuming minimum down payment on a resale home in BC.

These are planning estimates to give you a realistic sense of scale, not a quote. Legal fees, PTT, and adjustments vary by transaction; I'll calculate your actual numbers once we have a specific property.

SCENARIO A

$500,000

Purchase price, 5% minimum down payment

Down payment (5%)	$25,000
Property transfer tax Full first-time buyer exemption at this price	$0
Legal and notary fees	$1,300
Title insurance	$250
Tax and interest adjustments	$150
Estimated cash needed	**$26,700**

Default insurance premium (about $19,000 at 95% loan-to-value) is rolled into the mortgage itself, not paid in cash.

SCENARIO B

$1,000,000

Purchase price, blended minimum down payment

Down payment (5% + 10%)	$75,000
Property transfer tax Above the first-time buyer exemption threshold	$18,000
Legal and notary fees	$1,500
Title insurance	$300
Tax and interest adjustments	$300
Estimated cash needed	**$95,100**

Default insurance premium (about $37,000 at 92.5% loan-to-value) is rolled into the mortgage itself, not paid in cash.

Ready to talk numbers?

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